

Tesla faces second straight year of falling sales after another bad quarter

Tesla [delivered](#) 384,122 vehicles in the second quarter of this year, wrapping up another weak quarter for the company as it struggles to bring the pace of sales back up to 2023 levels.

That represents a 13.5% drop from the number of cars Tesla delivered in the second quarter of 2022, and it means Tesla runs a real chance of underperforming its total sales figure from 2024. If that happens, it would mean Tesla's sales will have fallen two years in a row — despite the company once promoting the ability to grow deliveries at 50% annually.

This quarter's sales were only slightly better than in Q1, which was the company's [worst quarter for deliveries in more than two years](#). This was also the first full quarter of sales since CEO Elon Musk started working inside the Trump administration, which kicked off nationwide “Tesla Takedown” protests.

Musk repeatedly explained that Tesla's poor first-quarter sales were due in part to the company shutting down production lines at all of its factories to prepare for the launch of the upgraded Model Y. The company did not have any similarly planned production changeovers in the second quarter, although Business Insider reported that some staff working Model Y and Cybertruck lines were [told to stay home for a few days in late May](#).

Tesla will reveal the financial impact of the tough quarter on July 23, when it releases its official earnings report.

Just last week, Musk reportedly [fired his longtime confidant](#) Omead Afshar, who oversaw both manufacturing and sales for the U.S. and Europe in his role as vice president. With the CEO reducing his time in the Trump administration, he has pledged to dedicate more time to Tesla and his other businesses. Since then, Tesla has launched a limited version of its long-promised Robotaxi service in Austin, Texas, and Bloomberg News reported Musk is [taking over Afshar's sales perch](#).

Other [automakers have struggled to move EVs lately](#), with Ford announcing this week that sales of its electric vehicles fell 31% year-over-year in the U.S. (Tesla's figures were for global sales.) Even Hyundai and Kia, which had found early success with their EVs in the States, saw sales drops in the second quarter, too. General Motors bucked the trend, growing U.S. EV sales year-over-year thanks to a slate of new and improved models.

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Tesla has tapped just about every lever it has to juice sales over the last two years. It dramatically lowered prices in the U.S. and abroad. It has run multiple low-interest rate promotions. And it has

made some minor upgrades to all of its models, with the Model Y SUV getting one of the most noticeable facelifts.

The company has spent the last few quarters teasing that it is working on “more affordable” models that are reported to be something like super-stripped-down Model Ys and Model 3 sedans. It promised those were on track to start production in the first half of this year, but the company has not said whether or not that happened. Musk [previously abandoned](#) a plan to build a \$25,000 car on the same next-generation platform that powers Tesla’s dedicated robotaxi vehicle, the Cybercab, which is still in the prototype phase.

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